VALUATION

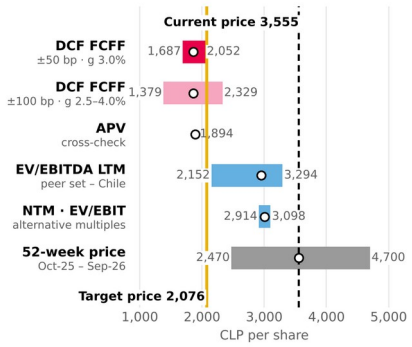
We recommend SELL on Mallplaza with a target price of CLP 2,076 per share, 41.6% below the CLP 3,555 close of 30-Sep-26 (−39.7% total return including dividends). Our target sits even below the stock's 52-week low (CLP 2,470).

A PRICE NO METHOD REACHES

In twelve months the stock rose from CLP 2,470 to 4,700 and now trades at CLP 3,555. None of our methods reaches that price: the DCF ranges from CLP 1,379 to 2,329 even with WACC ±100 bp and g between 2.5% and 4.0%, and the most favourable multiples fall short too (Figure 27). We give the DCF an 80% weight because Mallplaza is, at heart, a rent collector: 81.4% of revenue is rent and 93% of that is fixed. The 20% on multiples tests the model against what the market pays today, but with caution: Chile has only two direct peers, and neither captures the company's expansion plan or debt path.

Figure 27 sums up the thesis in one picture. APV, which values the firm unlevered and adds the tax shields separately, gives CLP 1,894, just 2% above the DCF: the result does not depend on how we model financing. Multiples range from CLP 2,152 (common-set median) to 3,294 (Chilean median), and EV/EBITDA NTM and EV/EBIT sit between CLP 2,914 and 3,098. Everything falls to the left of the price; the only thing that reaches it is the stock's own trading range over the past year. Even the Chilean median multiple, the most favourable case for the stock, sits 7% below the price.

Figure 27: No method justifies the current price (CLP per share)



52-week intraday range (1-Oct-25 to 30-Sep-26; low 10-Oct-25, high 27-Apr-26). Source: Team analysis; Bloomberg.

THE STORY IS IN THE RATE

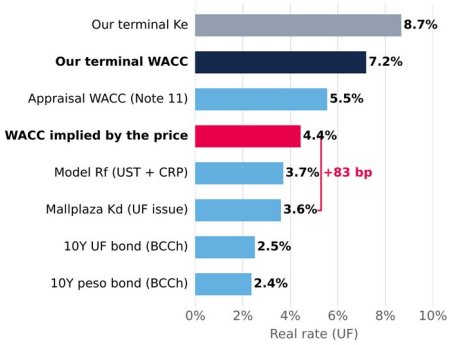
We project free cash flow to the firm in nominal CLP from 30-Jun-26, with an explicit horizon to 2031E and a terminal value that accounts for 76% of EV (Appendix [B]). The CLP 1,857 per share is CLP 583 of explicit cash flows and CLP 1,884 of terminal value, less CLP 610 of debt and minorities: the result depends, above all, on the discount rate.

That rate moves with the capital structure. Mallplaza uses its debt capacity to grow, as in 2024 after buying Open Plaza Peru (3.78x): we assume net debt/EBITDA rises from 2.36x to 3.5x by 2031, with 25 bp more real cost per turn, and that new debt (CLP 1.40 trillion) funds all capex while operating cash is distributed to shareholders. The nominal WACC thus moves from 10.54% in 2H26E to 10.41% in the terminal period (7.20% real): an 11.93% Ke (Rf 4.98%, relevered beta of 1.14 from a six-peer median of 0.94, ERP 4.14% and a 1.41% revenue-weighted CRP) and a 5.11% after-tax Kd based on the 3.6% real coupon of the latest bond (Appendix [Z]).

We build Ke in dollars because its three inputs are in that currency: the US Treasury Rf, the implied equity risk premium published by Damodaran and country risk, which we weight by revenue (71.8% Chile, 17.7% Peru and 10.5% Colombia). We then convert it to pesos with the gap between expected inflation in Chile (3.0%, the central bank's target) and in the US (2.24%, 10-year breakeven). The beta starts from unlevering six regional peers with Hamada and is relevered each period with Mallplaza's structure, which is why it moves from 1.09 in 2H26E to 1.14 in the terminal period.

Here the first signal appears: at CLP 3,555, equity yields ~4.4% real, just 80 bp above the company's own real cost of debt (Figure 28). The market is pricing the stock almost as if it were a bond.

Figure 28: At CLP 3,555 equity yields almost the same as debt



Real rates in UF. Source: Central Bank of Chile (30-Jun-26); Mallplaza; Team analysis.

GROWTH DOES NOT RESCUE THE PRICE

This is not pessimism about operations. We forecast a 79.7% EBITDA margin in 2026E (excluding revaluation, below the 80.5% LTM), a tax rate converging from 16.8% to 27%, the announced pipeline (USD 613 million and 170,200 m²) and, from 2029, 27,075 m² of new GLA a year at the historical pace. The 13-analyst consensus expects NTM EBITDA only ~3% above ours: the disagreement with the market is not about cash flows.

Capex follows the company's plan: the pipeline and maintenance (5.5% of revenue) take base capex to a peak of CLP 240,660 million in 2027, and continuous expansion adds CLP 95,000–104,000 million a year from 2028, at the cost of the identified pipeline (USD 3,603 per m²) with a 35%, 90% and 100% revenue ramp. Working capital, at 15.6% of revenue, requires only CLP 7,100–9,900 million a year and moves the price by ±1.2%. These are assumptions the team can defend line by line (Appendix [C]).

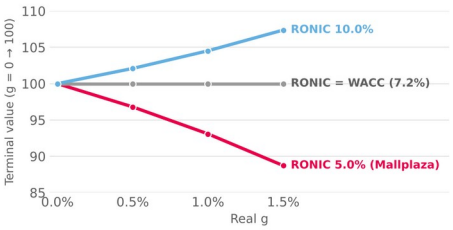
Two assumptions deserve explanation. The cash tax rate starts at 16.8% because the company currently uses tax goodwill and loss carry-forwards; we assume those shields run off and the rate reaches 27% by 2030, so as not to overstate value. And working capital is positive because tenant receivables (CLP 122,370 million) exceed rents collected in advance (CLP 20,247 million): it grows with revenue, not with new m².

The problem is the return on growth. Each new m² yields 6.9% on cost, a 5.0% real RONIC after tax, below a 7.2% real WACC. Expansion adds revenue but not value, so terminal value grows only with inflation (g of 3.0% nominal, 0% real) and a higher g lowers value (Figure 29). Assuming more growth would not close the gap with the price; it would widen it.

That is why the explicit horizon includes the capex and ramp-up of projects opening through 2032 (108,301 m² of mature GLA in the terminal year), but from then on the model adds no new malls: terminal capex covers maintenance only (5.5% of revenue). This is not a conservative assumption against the company; at these returns, growing more would reduce its value.

Figure 29: Growing below the WACC destroys value: real g = 0%

Nominal g	Real g	Reinvestment	DCF value	Δ
3.0%	**0.0%**	**0.0%**	**1,857**	**±0.0%**
3.5%	0.5%	9.6%	1,785	−3.9%
4.0%	1.0%	19.3%	1,699	−8.5%



Top: DCF value by g. Bottom: relative terminal value by RONIC. Source: Team analysis.

PEERS CONFIRM THE DIRECTION, NOT THE SIZE

Mallplaza trades at 16.8x EV/EBITDA, above the Chilean median (15.7x) and far above Brazilian peers (9.0x). The gap with Brazil is about rates, not quality: with local real bonds at 2.5% in Chile and 8.1% in Brazil (NTN-B), the cap-rate spread over the local rate is similar in both countries, 385 bp in Chile and 302 bp in Brazil (Figure 30). We therefore weight the Chilean median at 70% and the common-set median at 30% (which includes IRSA; we exclude Fibra Danhos for its FIBRA regime): 14.4x, giving CLP 2,951 per share. The weighting matters little: between 0% and 100% Chile, the target price only moves from CLP 1,916 to 2,144 (Appendix [E]).

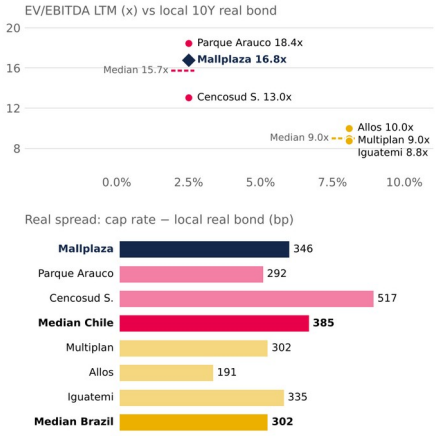
Macro explains the difference. At 30-Jun-26 Brazil had a 14.25% Selic, a 14.34% nominal 10-year bond and 5.3% expected 2026 inflation, against a 4.5% policy rate, a 5.43% nominal bond and 4.1% inflation in Chile, with similar growth (2.0% and 1.6%). An investor in Brazil demands more from every asset, not just shopping malls; applying that discount to Mallplaza, which earns 71.8% of revenue in Chile, would penalise it for a risk it does not carry. Mallplaza's own spread (346 bp) is in fact tighter than the Chilean median (385 bp): investors already pay it a premium within Chile.

We chose the set on the same basis as the beta. IRSA is kept with caution, since it reports under IAS 29 and its NTM consensus has a single analyst; Fibra Danhos is excluded because, as a FIBRA, it must distribute 95% of its taxable income and has no beta in the WACC. We use EV/EBITDA because it is neutral to leverage and to revaluation (IAS 40), and we measure everyone with Bloomberg net debt (CLP 1,311,569 million for Mallplaza, close to the CLP 1,285,740 million of net financial debt used in the DCF).

Nor does quality justify the premium. Mallplaza trades 29% above Cencosud Shopping, yet its EBITDA per m² is only 1.8% higher (see Industry); only at Parque Arauco's multiple (18.4x), with 5.7x leverage, would it be worth more than its price. Every multiple, from EV/EBITDA NTM (CLP 2,914) to P/BV (CLP 3,171), sits below the price (Figure 31): multiples confirm the stock is expensive, and the DCF sets the size of the gap. We exclude P/E (CLP 8,644), distorted by property revaluation.

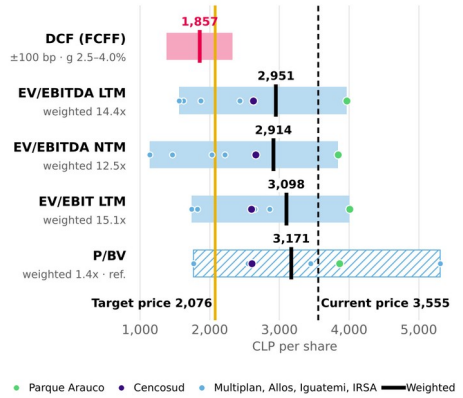
In price terms: at the Chilean median alone the stock would be worth CLP 3,294 (−7%); at Cencosud's multiple, CLP 2,621; and only at Parque Arauco's, CLP 3,967. Defending CLP 3,555 with multiples requires assuming Mallplaza deserves the valuation of the most leveraged peer in the group. The forward view tells the same story: Mallplaza trades at 14.8x consensus NTM EBITDA against a 12.5x weighted peer multiple. We keep Brazil at 30% rather than zero because the Chilean median rests on only two companies.

Figure 30: Chile and Brazil charge the same premium: multiples differ because of rates



Real bond: 10Y UF (Central Bank of Chile) and NTN-B 2035 (8.08%) at 30-Jun-26. Spread = cap rate (1 / EV/EBITDA) − real bond. IRSA omitted (IAS 29). Source: Bloomberg; Central Bank of Chile; Team analysis.

Figure 31: Value implied by each peer's multiple vs DCF and price (CLP per share)



Target = 80% DCF + 20% EV/EBITDA LTM. P/E excluded (includes revaluation). Source: Bloomberg (30-Sep-26); Team analysis.

WHAT THE MARKET WOULD HAVE TO BELIEVE

The price implies an EV of CLP 9.12 trillion, 69% above ours, and a 6.0% cap rate, against 10.1% in our DCF, 6.4% for Chilean peers and 7.5% at book value (Figure 32). The market pays 1.61x an equity base already at fair value, appraised at a ~5.55% real rate (Note 11): it pays more than the appraisers themselves. To justify CLP 3,555, the WACC would have to be 285 bp lower (Figure 33); even at the appraisers' rate, the DCF would be CLP 2,660.

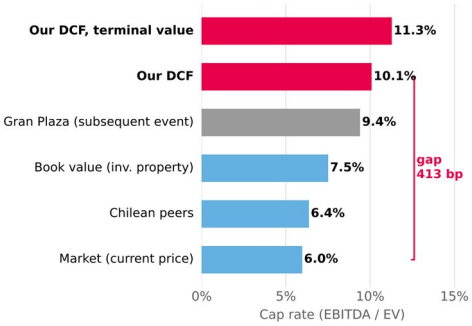
We pushed the thesis to its extremes. In a bear case (WACC +100 bp and the 75.8% historical-low margin) the target falls to CLP 1,712; in a bull case combining WACC −100 bp, g of 2.5%, the 81.3% peak margin and the cut in corporate tax to 23%, it rises to CLP 2,595, still 27% below the price. APV (CLP 1,894), a peso-bond Rf (~CLP 2,439) and other debt targets (DCF of CLP 1,819 to 1,894) lead to the same conclusion (Appendix [F]).

Calendar details do not change the outcome either. With an expected dividend of ~CLP 69 per share (2.0%), the expected total return is −39.7%. And since the DCF is dated 30-Jun-26 and the price 30-Sep-26, the comparison slightly favours the market: if the balance of the 2026 dividend (~CLP 27 per share) was already paid before that date, our value would be somewhat overstated, not understated.

That brings us to CLP 2,076 (80% × 1,857 + 20% × 2,951): 10.8x EBITDA, a 9.3% cap rate and 0.94x book value. Rolling the DCF to 30-Sep-26 would lift it to ~CLP 2,118 without changing the call. The catalyst is the same force behind the thesis: with the 10Y UST at 5.22%, its highest since 2002, rates pressure cap rates, and each new appraisal moves them toward our value. We would be wrong if cap rates compress further on institutional demand for defensive assets, or if the market sustains a structural premium for Tier A assets (see Investment Risks).

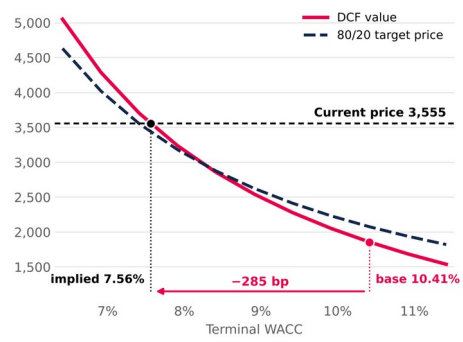
What we will watch: the Note 11 appraisal at each reporting date (the real discount rate is the bridge between our value and book), the spread of the company's UF bonds over their 3.6% coupon (at the latest issue's 4.33% effective rate, the WACC would rise 12 bp and the target would fall to CLP 2,042), the cut in corporate tax to 23% (+3.9% on the target, not yet included) and the AAA rating, which would likely come under pressure at 3.5x net debt/EBITDA. In short, the operating story is sound; it is the price of that story that no longer adds up.

Figure 32: The market pays 6.0%; our cash flows are worth 10.1%



Gran Plaza: subsequent event, not in the model. Source: Mallplaza; Bloomberg; DF; Team analysis.

Figure 33: The price requires a WACC 285 bp lower



Source: Team analysis.

APPENDIX [Z]: WACC CONSTRUCTION

The WACC is computed per period: D/E converges linearly from the current structure (20.0%) to the target (28.5%, net debt/EBITDA 3.5x) in 2031. The cost of equity is built in dollars (US Treasury Rf + re-levered beta × ERP + revenue-weighted CRP) and converted to pesos with the inflation differential.

βL = βU × [1 + (1 − t) × D/E] (Hamada)
Ke USD = Rf + βL × ERP + weighted CRP
Ke CLP = (1 + Ke USD) × (1 + π Chile) / (1 + π US) − 1
Kd CLP = (1 + real Kd + spread) × (1 + π Chile) − 1
WACC = E/V × Ke CLP + D/V × Kd CLP × (1 − t)

A. MARKET AND CAPITAL STRUCTURE ASSUMPTIONS

Assumption	Value	Source
Rf: 10Y US Treasury	4.98%	Tasa_WACC (FFCF)
Equity risk premium (ERP)	4.14%	Damodaran
Long-term inflation, Chile	3.00%	Central Bank target
Long-term inflation, US (10Y breakeven)	2.24%	Bloomberg, Jun-26
Chilean tax rate	27.00%	Income Tax Law
Real Kd: latest UF bond coupon	3.60%	Mallplaza
Real Kd increase per turn of net debt/EBITDA	0.25%	Team assumption
Net debt/EBITDA initial (30-Jun-26) → target	2.36x → 3.5x	2Q26 release; team assumption
Gross debt / market cap (current structure, CLP MM)	1,579 / 7,906 (thousands)	Tasa_WACC (FFCF)

B. BETA: UNLEVERED PEERS

Company	Levered β	Debt (CLP MM)	Market cap (CLP MM)	Tax rate	Unlevered β
Parque Arauco	1.250	1,700,507	3,828,031	27%	0.944
Cencosud Shopping	1.075	762,154	3,942,858	27%	0.942
Allos	1.164	960,191	2,712,166	34%	0.944
Iguatemi	0.908	647,397	1,421,560	34%	0.698
IRSA	0.427	625,047	1,218,777	35%	0.320
Multiplan	1.219	191,478	2,959,845	34%	1.169
Median (6 peers included)					**0.9428**

Source: Bloomberg (betas), Tasa_WACC. Costa Verde is excluded because it is not in the comparables set.

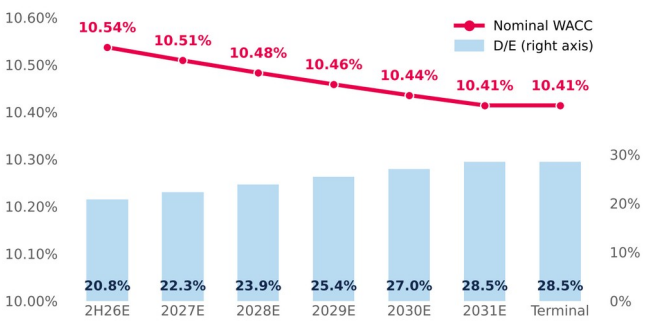
C. REVENUE-WEIGHTED COUNTRY RISK

Country	Weight (LTM revenue)	CRP (Damodaran)	Contribution
Chile	71.8%	1.04%	0.75%
Peru	17.7%	1.55%	0.27%
Colombia	10.5%	3.70%	0.39%
Weighted CRP	**100.0%**		**1.41%**

D. WACC BY PERIOD

	2H26E	2027E	2028E	2029E	2030E	2031E	Terminal
Net debt/EBITDA	2.46x	2.67x	2.88x	3.09x	3.29x	3.50x	3.50x
D/E	20.8%	22.3%	23.9%	25.4%	27.0%	28.5%	28.5%
D/V	17.2%	18.2%	19.3%	20.3%	21.2%	22.2%	22.2%
Re-levered beta	1.086	1.096	1.107	1.118	1.128	1.139	1.139
Ke USD	10.88%	10.93%	10.97%	11.02%	11.06%	11.10%	11.10%
Nominal Ke CLP	11.70%	11.75%	11.79%	11.84%	11.88%	11.93%	11.93%
Real Kd (UF) incl. spread	3.63%	3.68%	3.73%	3.78%	3.83%	3.89%	3.89%
Nominal Kd CLP	6.73%	6.79%	6.84%	6.89%	6.95%	7.00%	7.00%
After-tax Kd	4.92%	4.96%	4.99%	5.03%	5.07%	5.11%	5.11%
Nominal WACC CLP	**10.54%**	**10.51%**	**10.48%**	**10.46%**	**10.44%**	**10.41%**	**10.41%**
Real WACC	7.32%	7.29%	7.26%	7.24%	7.22%	7.20%	7.20%

Figure Z1: Nominal WACC and D/E by period



Control: the replica matches the WACC sheet of model v2 (0 bp difference in every period). Source: Damodaran; Bloomberg; Central Bank of Chile; Team analysis.

E. CHOICE OF THE RISK-FREE RATE

Alternative	Value
Model base: US Rf + Chile CRP, in CLP	6.80%
10Y peso bond, Central Bank (30-Jun-26)	5.43%
Difference	137 bp
Effect on terminal WACC (difference × E/V)	−107 bp
DCF value using the peso bond (CLP)	2,311
80/20 target price in that case (CLP)	**2,439**

Why UST + CRP and not the peso bond: the local bond already embeds Chile risk, so adding the CRP would double-count it; also, 28% of revenue comes from Peru and Colombia, whose risk enters through the weighted CRP.

It is the more conservative choice: with the peso bond the target price rises to ~CLP 2,439, still 31% below the CLP 3,555 share price. The recommendation does not change.

Source: Central Bank of Chile, Informativo Diario 2-Jul-26; DCF v2 replica with the WACC shifted in every period.